

category of “business men’s investments” which we considered and decided against in Chap. 7. It may be objected that a general adoption of this attitude would result in wide and sudden fluctuations in the price of many issues. Assuming that a 4% bond deserves to sell at par as long as it meets strict investment standards, then as soon as it falls slightly below these standards its price would suffer a precipitous decline, say, to 70; and, conversely, a slight improvement in its exhibit would warrant its jumping suddenly back to par. Apparently there would be no justification for intermediate quotations between 70 and 100.

The real situation is not so simple as this, however. Differences of opinion may properly exist in the minds of investors as to whether or not a given issue is adequately secured, particularly since the standards are qualitative and personal as well as arithmetical and objective. The range between 70 and 100 may therefore logically reflect a greater or lesser agreement concerning the safety of the issue. This would mean that an investor would be justified in buying such a bond, say, at 85, if his own considered judgment regarded it as sound, although he would recognize that there was doubt on this score in the minds of other investors that would account for its appreciable discount from a prime investment price. According to this view, the levels between 70 and 100, approximately, may be designated as the range of “subjective variations” in the status of the issue.

The field of speculative values proper would therefore commence somewhere near the 70 level (for bonds with a coupon rate of 4% or larger) and would offer maximum possibilities of appreciation of at least 50% of the cost. (In the case of other senior issues, 70% of *normal value* might be taken as the dividing line.) In making such commitments, it is recommended that the same general attitude be taken as in the careful purchase of a common stock; in other words, that the income account and the balance sheet be submitted to the same intensive analysis and that the same effort be made to evaluate future possibilities—favorable and unfavorable.

Important Distinctions Between Common Stocks and Speculative Senior Issues. We shall not seek, therefore, to set up standards of selection for speculative senior issues in any sense corresponding to the quantitative tests applicable to fixed-value securities. On the other hand, although they should preferably be considered in their relationship to the common-stock approach and technique, it is necessary to appreciate